JB Financial Group (175330 KS)

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2026 is progressing as planned

3Q26 net profit in line with consensus

JB Financial Group reported 3Q26 net profit attributable to controlling interest of W210.0bn, in line with consensus. Group net interest income rose 2.1% QoQ, as 5.3% growth in won-denominated loans offset a 7bp QoQ decline in the combined NIM of its two banks. Group non-interest income fell sharply QoQ due to base effect for securities gains at JB Woori Capital and lower project financing (PF) fee income. SG&A expenses declined by 9.4% QoQ on disciplined cost management. Credit costs fell 13.5% QoQ, reflecting W23.0bn in provision reversals (W6.2bn from changes to banks' risk components (RC) and W16.8bn from revisions to the stage classification policy for loans with lost or destroyed collateral at the capital subsidiary). CET1 ratio declined 4bp QoQ to 12.39%. However, while won-denominated loans grew by approximately 10% YTD, risk-weighted assets (RWA) increased by just 5.1%, indicating growth focused on return on RWA (RoRWA). We therefore view both profitability and shareholder return as healthy.

2026 total payout ratio of 50.3% and shareholder return yield of 8.4%

We forecast JB Financial Group's 2026 total payout ratio at 50.3% and total shareholder return yield at 8.4%, (5.3% dividend yield and 3.2% buyback yield). Under its shareholder return policy, total cash dividends are expected to increase 10% annually. The company plans to consider raising its total payout ratio above 50% once its CET1 ratio exceeds 13%. As it may revisit RWA growth if P/B remains below 1.0x, we believe it could reach a CET1 ratio of 13% in 2027. Current RWA growth guidance stands at 6-8%. With 2026 won-denominated loan growth exceeding initial expectations, the company could lower RWA growth in 2027 to improve its CET1 ratio, provided NIM remains resilient and net interest income stays solid.

Maintain BUY and target price of W38,000

We maintain BUY and our target price of W38,000. The company recently signed an agreement to acquire a 100% stake in a local financial company in Kyrgyzstan, expanding its overseas business footprint beyond Southeast Asia into Central Asia. It also signed an agreement to invest W40.0bn for a 2% stake in AI company Upstage. We view its continued investment in AI technology companies and efforts to secure further growth opportunities as positive for the share price.

BUY (M)

Target price	W38,000 (M)
Previous target price	W38,000
Current price (Oct 27)	W24,300
Upside potential	56%

Market cap (Wbn)	4,533
Shares outstanding	186,521,824
Avg daily T/O (2M, Wbn)	12
Avg daily volume (2M, shrs)	400,843
52-week high/low (won)	37,500 / 21,950
Foreign ownership (%)	32.88%
Dividend yield (%)	3.70%
Major shareholders	Samyang Corporation & others

Stock performance

(%)	1M	3M	12M
Absolute	(19.4)	(15.5)	9.7
Relative	1.2	1.3	(21.3)
Abs (US$)	(17.3)	(6.2)	18.7

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Net op revenue	588	2.4	-8.0	619	-5.0
SG&A expense	198	4.5	-9.4	205	-3.3
Provisions	99	-4.6	-13.5	113	-12.2
OP	291	3.5	-4.8	301	-3.5
Consolidated NP	217	1.7	-4.2	222	-2.4
NP, CI	210.0	0.8	-4.4	213.7	-1.7

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Net op revenue	2,215	2,339	2,469	2,625
OP	906	952	1,032	1,113
NP, CI	678	710	748	794
P/E (x)	4.6	6.7	5.9	5.5
P/B (x)	0.61	0.89	0.79	0.71
ROE (%)	12.8	12.4	12.4	12.4
ROA (%)	1.0	1.0	1.0	0.9

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

JB Financial Group: 3Q26 earnings (consolidated)

(Wbn)	3Q26P	Consensus	vs consensus	YoY (%)	QoQ (%)	3Q25	2Q26
Net op revenue	588	619	-5.0	2.4	-8.0	575	639
OP	291	301	-3.5	3.5	-4.8	281	306
Net profit, CI	210.0	213.7	-1.7	0.8	-4.4	208	220

Note: CI = controlling interest, Source: company data, Yuanta Securities

JB Financial Group: earnings forecast

(Wbn)	1Q25	2Q25	3Q25	4Q25	1Q26P	2Q26	3Q26P	4Q26E	2025	2026E
Net op revenue	562	579	575	624	575	639	588	667	2,339	2,469
Net interest income	491	502	518	534	533	555	566	577	2,045	2,231
Non-interest income	70	77	57	90	42	84	22	90	295	238
Net commission	15	9	17	13	15	25	13	15	54	68
Other non-interest	55	68	40	77	26	60	8	75	240	170
Selling & admin	206	202	189	311	229	219	198	317	908	963
Pre-provision OP	355	377	385	314	346	421	390	350	1,431	1,507
Provisions	138	110	104	127	125	115	99	136	479	475
OP	217	267	281	187	221	306	291	214	952	1,032
Non-operating profit	2	12	-1	0	4	-4	-3	1	12	-2
Pre-tax profit	219	279	280	187	225	302	288	215	965	1,030
Consol. net profit	167	214	213	136	172	226	217	156	730	772
Controlling interest	163	208	208	132	166	220	210	152	710	748
Won-denominated	1.6	3.5	0.8	0.9	1.4	3.6	5.3	0.1	6.9	10.7
% of non-interest	12.5	13.4	9.9	14.4	7.2	13.2	3.7	13.5	12.6	9.6
NIM (bank)	2.56	2.54	2.53	2.53	2.53	2.53	2.46	2.47	2.54	2.50
CIR (%)	36.7	34.9	33.0	49.8	39.8	34.2	33.6	47.5	38.8	39.0
CCR (bp)	1.06	0.82	0.77	0.92	0.89	0.79	0.65	0.89	0.87	0.78
NPL ratio	1.19	1.15	1.21	1.23	1.41	1.43	1.57	1.56	1.2	1.6
NPL coverage ratio	112.5	114.0	108.0	104.6	97.9	91.7	83.4	81.9	104.6	81.9
CET-1 (%)	12.28	12.40	12.72	12.58	12.61	12.53	12.39	12.50	12.58	12.50
ROE (%)	11.6	14.6	14.4	8.9	11.2	14.7	13.9	9.9	12.4	12.4
ROA (%)	1.0	1.2	1.2	0.7	0.9	1.2	1.1	0.8	1.0	1.0
Equities	5,631	5,718	5,863	5,915	5,914	6,018	6,062	6,156	5,915	6,156
Assets	68,289	70,188	71,255	73,124	73,982	76,237	79,934	81,920	73,124	81,920

Source: company data, Yuanta Securities

Valuation table

	Formula	Unit	Old (Feb 24, 2026)	New (Apr 28,	Note
Cost of equity (COE)	(C=a+(b*c)+d)	%	12.0	12.1	
Risk-free rate	(a)	%	3.3	3.4	1-yr monetary stabilization bond's recent 3-mo avg yield
Risk premium	(b)	%	5.1	5.1	
Beta	(c)		0.8	0.8	104-week adjusted beta
Ri	(d)	%	4.4	4.5	Reflected additionally given past COE
Average ROE	(B)	%	12.1	12.3	2026-2028 average ROE
Permanent growth	(D)	%	4.6	4.5	Min (ROE x retention ratio, 30-yr KTB's recent 3-mo avg yield)
Target P/B	(A=(B-D)/(C-D))	x	1.02	1.02	
12-mo-fwd BPS	(E)	won	37,135	37,111	
Target price	(A*E)	won	**38,000**	**38,000**	
Current price (Oct 28)		won		24,300	
Upside potential		%		56.4	

Source: company data, Yuanta Securities

Earnings forecast revision

(Wbn)	Old		New		Difference	
	2026E	2027E	2026E	2027E	2026E	2027E
Net operating revenue	2,473	2,622	2,469	2,625	-0.2	0.1
OP	1,022	1,089	1,032	1,113	1.0	2.2
Net profit, CI	738	776	748	794	1.3	2.2

Note: CI = controlling interest, Source: Yuanta Securities

JB Financial Group (175330 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Net interest income	1,976	2,045	2,231	2,373	2,472
Interest income	3,636	3,572	3,912	4,344	4,677
Interest expense	1,660	1,527	1,680	1,971	2,205
Non-interest income	239	295	238	252	281
Net commission	79	54	68	62	66
Other non-interest	159	240	170	190	215
Net operating revenue	2,215	2,339	2,469	2,625	2,753
Selling and admin expense	830	908	963	1,017	1,073
Pre-provision operating profit	1,385	1,431	1,507	1,608	1,680
Provisions	479	479	475	496	526
Operating profit	906	952	1,032	1,113	1,154
Non-operating profit	2	12	-2	4	4
Pre-tax profit	908	965	1,030	1,117	1,158
Income tax	215	235	258	307	318
Tax rate	24	24	25	28	28
Consolidated net profit	693	730	772	810	840
Controlling interest	678	710	748	794	824
Non-controlling interest	15	20	24	16	16

Statement of financial position (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Cash & cash equivalents	1,622	2,473	3,290	3,507	3,723
Securities	10,070	11,121	11,442	12,194	12,945
Loans	52,123	56,459	62,258	66,954	71,902
Tangible and intangible assets	1,035	1,071	1,085	1,078	1,078
Other	1,872	2,000	3,844	3,576	3,037
Assets	66,722	73,124	81,920	87,310	92,685
Deposits	44,141	47,780	53,749	57,340	60,977
Borrowings	14,867	17,053	19,651	20,965	22,294
Other	1,989	2,116	2,096	2,121	2,122
Liabilities	60,997	66,949	75,496	80,426	85,394
Equity, controlling interest	5,581	5,915	6,156	6,616	7,024
Capital stock	985	985	985	985	985
Hybrid bond	520	520	520	520	520
Capital surplus	703	709	709	709	709
Retained earnings	3,425	3,809	4,168	4,628	5,036
Other comprehensive income	-52	-109	-226	-226	-226
Equity, non-controlling interest	144	261	267	267	267
Equities	5,725	6,175	6,423	6,884	7,291

Growth (%)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
NIM (bank)	2.69	2.55	2.52	2.49	2.45
ROE	12.8	12.4	12.4	12.4	12.1
ROA	1.0	1.0	1.0	0.9	0.9
CIR	37.5	38.8	39.0	38.7	39.0
Asset growth	5.2	9.6	12.0	6.6	6.2
Loan growth	5.8	8.3	10.3	7.5	7.4
Net profit growth	15.6	4.8	5.2	6.1	3.8

Valuations (won, x, %)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS	3,563	3,813	4,101	4,451	4,725
BPS	26,613	28,954	30,919	34,194	37,318
DPS	995	1,140	1,282	1,440	1,625
P/E	4.6	6.7	5.9	5.5	5.1
P/B	0.6	0.9	0.8	0.7	0.7
Dividend payout ratio	28.0	30.1	31.5	32.6	34.7
Dividend yield	6.1	4.4	5.3	5.9	6.7

Adequacy indicators (%)

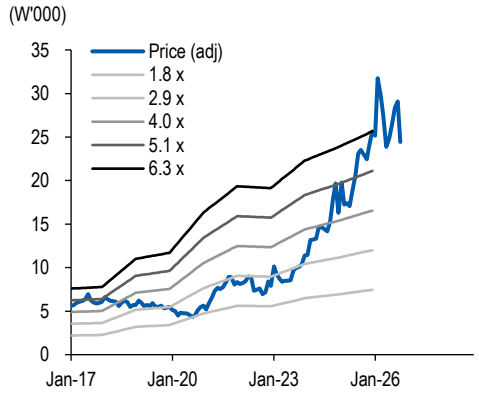
FY ends Dec	2024A	2025A	2026E	2027E	2028E
BIS capital adequacy ratio	14.3	14.7	14.4	14.6	14.7
Tier 1 capital ratio	13.6	14.1	13.8	14.0	14.1
CET1 capital ratio	12.2	12.6	12.5	12.8	13.0

Asset quality indicators (x, %)

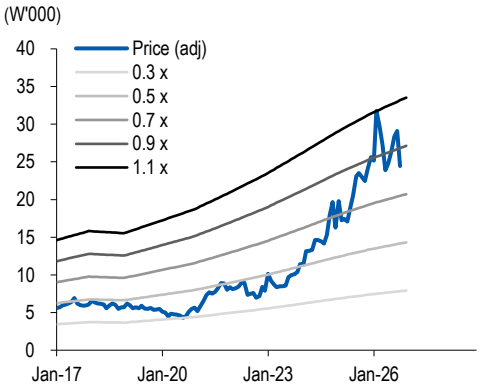
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Substandard and below ratio	0.9	1.2	1.6	1.5	1.4
NPL coverage ratio	139.7	104.6	81.9	84.2	86.6
CCR	0.93	0.87	0.78	0.76	0.75

Note: CI = controlling interest
EPS, BPS, P/E and P/B are based on controlling interest.
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price.
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior.
Source: Company data, Yuanta Securities

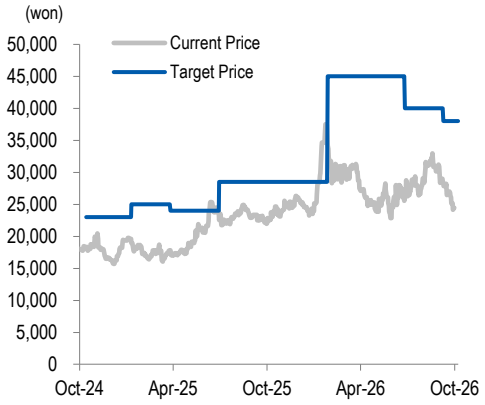
P/E band chart



P/B band chart



JB Financial Group (175330 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/29	BUY	38,000	1 yr		
2026/10/07	BUY	38,000	1 yr		
2026/07/24	BUY	40,000	1 yr	-26.99	-17.63
2026/02/24	BUY	45,000	1 yr	-38.53	-25.22
2025/07/28	BUY	28,500	1 yr	-14.25	31.58
2025/04/24	BUY	24,000	1 yr	-15.24	5.63
2025/02/07	BUY	25,000	1 yr	-30.04	-25.16
2024/11/11	BUY	23,000	1 yr	-21.66	-11.09
	Analyst changed				

Note: Difference = (actual price* - target price) / target price x 100

* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested

Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 29, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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